

5-5 Appendix 1 Sales Discounts

When a company sells merchandise on account, the buyer and seller must agree on the credit period and terms prior to the delivery of the merchandise. These credit terms are normally included on the invoice (bill) that the seller sends to the buyer after delivery of the merchandise.

Objective 6 - Describe and illustrate the gross and net methods of accounting for sales discounts.

To encourage a buyer to pay the invoice early, a seller may offer a sales discount (From the seller's perspective, a discount that a seller may offer the buyer for early payment.)

with such terms as 2/10, n/30. These terms provide a customer a 2% discount off of the invoice price if the customer pays within 10 days of the date of the invoice. If not paid within 10 days, the total invoice amount is due within 30 days. For example, a \$12,000 invoice dated August 1 with terms 2/10, n/30 could be satisfied by paying \$11,760 [$\$12,000 - (\$12,000 \times 2\%)$] on or before August 11. If the terms had been 1/10, n/30, the invoice could be satisfied by paying \$11,880 [$\$12,000 - (\$12,000 \times 1\%)$]. If not paid by August 11, \$12,000 would be due by August 31.

Sales discounts for early payment may be accounted for by the seller using the gross method or the net method. Either method may be used as long as the seller's financial statements are reported using generally accepted accounting principles (GAAP).